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Baidu Inc | Asia Pacific

2Q26 Preview: AI Investments to Weigh on Core OP

WHAT'S CHANGED

Baidu Inc (BIDU.O)	From	To
Price Target	US\$140.00	US\$130.00

We expect core revenue to be down 4% in 2Q26, with strong AI cloud infra revenue (+56%) offsetting an 18.5% decline in ads. Non-core asset spin-off and first dividend by year-end remain key market focus areas. EW.

Key Takeaways

- 2Q core revenue Rmb25.3bn, -4% YoY. Core non-GAAP OP Rmb3.7bn, -15% YoY.
- 2Q core ad revenue Rmb13bn, -18.5% YoY (vs. -21% in 1Q), limited visibility in turnaround.
- AI cloud infra revenue Rmb7.6bn, +56% YoY, sustained by triple-digit GPU cloud growth.
- Full-year 2026 core non-GAAP OP down 3-4% with increasing AI investments in 2H.

AI cloud remains the bright spot: We expect 2Q AI cloud infra revenue to be Rmb7.6bn (+56% YoY), mainly driven by robust GPU cloud growth sustained in triple digits. Current major offerings are still IAAS-related; the Qianfan MaaS platform is seeing robust token usage ramp-up. With AI cloud rising in the mix, cloud margins are improving, in line with industry trend.

Ads still at trough: We expect 2Q online ads revenue of Rmb13bn, -18.5% YoY (vs. -21% in 1Q), affected by a weak macro climate and AI transformation. Baidu is ramping up agents and "digital humans" offerings, which contributed 18% of core ad revenue in 1Q. We expect this transformation to take time and see limited recovery in 2H26.

Increasing AI investments in 2H: We expect 2Q core OP of Rmb3.7bn, -15% YoY (margin 14.7%, -2.0ppt), mainly driven by a weak top line and increasing investments in AI, partially offsetting cost optimization from organizational restructuring. Baidu has recently hired Tianxiang Sun to head its Basic Model Unit (BMU), aiming to step up Ernie AI model capabilities. We estimate core non-GAAP OP at Rmb13.8bn, -3-4% YoY in full-year 2026.

Lower price target to US\$130; EW: We expect market focus to remain on non-core asset spin-off (ongoing process). Upcoming events include first dividend payout by year-end and dual primary listing potentially in 1Q27. We trimmed core revenue estimates 3% for 2026 and 2027 to reflect weaker ads; our OP estimates drop 11-12% in view of rising AI investments. Our target implies 14x 2027e P/E vs. 13x now.

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Asia Summer School 2026

Baidu Inc (BIDU.O, BIDU US)

China Internet and Other Services | China

Stock Rating	Equal-weight
Industry View	Attractive
Price target	US\$130.00
Up/downside to price target (%)	11
Shr price, close (Jul 10, 2026)	US\$117.53
52-Week Range	US\$165.30-84.64
Sh out, dil, curr (mn)	343
Mkt cap, curr (mn)	US\$40,254
EV, curr (mn)	US\$5,116
Avg daily trading value (mn)	US\$436

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	11.77	41.06	54.04	62.56
Prior EPS (Rmb)**	-	47.67	57.69	66.81
EPS (Rmb)§	51.68	53.56	59.55	72.96
Revenue, net (Rmb mn)	129,079	129,884	145,335	158,948
ModelWare net inc (Rmb mn)	5,589	14,063	18,509	21,427
P/E	56.0	19.4	14.7	12.7
ROE (%)	2.1	5.3	6.5	7.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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Baidu Inc BIDU.O

Baidu core OP growth ↓ Likely downside surprise ↓ Modest revision lower

- Increasing AI investments to weigh on core OP

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

2Q26 Results Preview

Exhibit 1: 2Q26 results preview

GAAP (Rmb mn)	2Q25	1Q26	2Q26E	YoY	Cons.	vs. Cons (%)
Baidu Core	26,251	26,001	25,274	-3.7%	26,551	-2.1%
- Core Marketing Revenue	16,200	12,600	13,203	-18.5%		
- Non-marketing Revenue	10,051	13,401	12,071	20.1%		
AI cloud infra	4,900	8,800	7,630	55.7%		
iQIYI	6,628	6,226	6,346	-4.3%	6,434	-3.2%
Inter-Segment Revenue	(166)	(152)	(149)			
Total Net Revenue	32,713	32,075	31,471	-3.8%	32,941	-2.6%
Cost of Revenue	18,357	19,589	18,092		19,602	
Gross Profit	14,356	12,486	13,378	-6.8%	13,339	-6.4%
SG&A	5,960	4,912	5,367		5,469	
Research & Development	5,119	4,381	4,934	-3.6%	4,988	
Operating Profit	3,277	3,193	3,077		2,886	
Net Income	7,259	3,291	3,092		3,602	
Net Income Attributable to Baidu	7,322	3,445	3,097		3,674	
Basic EPADS	20.9	9.4	9.1		10.7	
Diluted EPADS	20.4	8.8	9.0		10.6	
Non-GAAP (Rmb mn)						
Adjusted EBITDA	6,492	5,954	5,823		4,851	-24.7%
Baidu Core Operating Profit	4,385	3,950	3,715	-15.3%	3,666	7.7%
Operating Profit	4,445	3,807	3,711		3,823	
Baidu Core Net income	4,792	4,433	3,656	-23.7%	4,455	-0.5%
Net Income Attributable to Baidu	4,795	4,332	3,645		4,556	
Non-GAAP Diluted EPADS	13.6	12.1	10.5		13	
Margin (%)						
Gross Margin	43.9%	38.9%	42.5%	-1.4ppt	40.5%	-1.6ppt
Baidu Core Non-GAAP Operating Margin	16.7%	15.2%	14.7%	-2.0ppt	13.8%	1.4ppt
Operating Margin	10.0%	10.0%	9.8%		8.8%	1.2ppt
Non-GAAP Operating Margin	13.6%	11.9%	11.8%		11.6%	0.3ppt
Baidu Core Non-GAAP Net margin	18.3%	17.0%	14.5%	-3.8ppt	16.8%	0.3ppt
Non-GAAP Net Margin Attributable to Baidu	14.7%	13.5%	11.6%		13.8%	-0.3ppt

Source: Company data, Visible Alpha consensus, Morgan Stanley Research estimates

Estimate Changes

Exhibit 2: Baidu: What's Changed

GAAP (Rmb mn)	New			Old			Changes (%)		
	Dec-26 2026E	Dec-27 2027E	Dec-28 2028E	Dec-26 2026E	Dec-27 2027E	Dec-28 2028E	Dec-26 2026E	Dec-27 2027E	Dec-28 2028E
Baidu Core	104,554	119,880	133,513	108,255	123,828	137,698	-3%	-3%	-3%
Core Marketing Revenue	51,019	52,550	54,126	53,210	54,806	56,450	-4%	-4%	-4%
Other Baidu Core	53,535	67,330	79,387	55,045	69,022	81,247	-3%	-2%	-2%
iQiyi	26,031	26,239	26,293	26,031	26,239	26,293	0%	0%	0%
Inter-Segment Revenue	(700)	(784)	(857)	(720)	(805)	(880)	-3%	-3%	-3%
Total Net Revenue	129,884	145,335	158,948	133,566	149,262	163,111	-3%	-3%	-3%
Cost of Revenue	75,092	81,576	86,969	77,077	83,659	89,140	-3%	-2%	-2%
Gross Profit	54,793	63,759	71,979	56,489	65,603	73,971	-3%	-3%	-3%
SG&A	21,852	23,957	25,670	22,689	24,845	26,601	-4%	-4%	-3%
Research & Development	21,702	24,829	27,651	21,300	24,322	27,052	2%	2%	2%
Operating Profit	11,239	14,973	18,658	12,500	16,436	20,318	-10%	-9%	-8%
Interest Income	8,507	8,694	9,261	8,507	8,757	9,376	0%	-1%	-1%
Interest Expense	(3,001)	(2,923)	(2,799)	(3,001)	(2,923)	(2,799)	0%	0%	0%
Profit Before Tax	17,285	24,061	28,436	20,045	25,585	30,211	-14%	-6%	-6%
Tax Expenses	(2,540)	(3,745)	(4,522)	(3,037)	(4,020)	(4,842)	-16%	-7%	-7%
Net Income	14,745	20,316	23,914	17,008	21,566	25,369	-13%	-6%	-6%
Less Net Loss Attributable to NCI	682	1,807	2,487	682	1,807	2,487	0%	0%	0%
Net Income Attributable to Baidu	14,063	18,509	21,427	16,326	19,759	22,882	-14%	-6%	-6%
EPADS (Rmb)									
Basic	41.3	54.4	63.0	48.0	58.1	67.3	-14%	-6%	-6%
Diluted	41.1	54.0	62.6	47.7	57.7	66.8	-14%	-6%	-6%
Non-GAAP									
Total Net Revenue	129,884	145,335	158,948	133,566	149,262	163,111	-3%	-3%	-3%
Gross Profit	55,183	64,197	72,455	56,956	66,128	74,543	-3%	-3%	-3%
EBITDA	23,021	30,933	37,709	25,036	33,368	40,526	-8%	-7%	-7%
Operating Profit	14,316	18,435	22,448	16,210	20,616	24,901	-12%	-11%	-10%
Net Income Attributable to Baidu	17,097	21,477	24,672	19,898	23,337	26,801	-14%	-8%	-8%
EPADS (Rmb) - Attributable to Baidu									
Non-GAAP Basic EPADS	43.4	54.1	62.1	50.5	59.0	67.6	-14%	-8%	-8%
Non-GAAP Diluted EPADS	41.3	51.9	59.9	48.4	56.8	65.4	-15%	-8%	-8%
Baidu Core									
Net Revenue	104,554	119,880	133,513	108,255	123,828	137,698	-3.4%	-3.2%	-3.0%
Non-GAAP Operating Profit	13,801	17,383	21,229	15,697	19,565	23,684	-12.1%	-11.2%	-10.4%
Non-GAAP OPM	13.2%	14.5%	15.9%	14.5%	15.8%	17.2%	(1.3 ppt)	(1.3 ppt)	(1.3 ppt)
iQIYI									
Net Revenue	26,031	26,239	26,293	26,031	26,239	26,293	0%	0%	0%
Non-GAAP Operating Profit	546	1,109	1,301	546	1,109	1,301	0%	0%	0%
Non-GAAP OPM	2.1%	4.2%	4.9%	2.1%	4.2%	4.9%	-	-	-

Source: Company data, Morgan Stanley Research (E) estimates

Valuation

Our price target is reduced to US\$130 (was US\$140).

Our price target is our base case scenario value, derived from a sum-of-the-parts approach, including US\$123 DCF value (was US\$133) for the core business and US\$7 (unchanged) for associate investments. Our key assumptions for the core business DCF model include an 11% discount rate and 3% terminal growth rate (unchanged). We also consider the implied market valuations of Baidu's key investments in Trip.com and IQIYI, and continue to apply a 30% holdco discount to investment value.

Exhibit 3: Baidu: DCF matrix: Unlevered free cash flow breakdown

Years Ending December 31 Rmb mn	2023	2024	2025 Scenario	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
DCF	2023	2,024	2,025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Operating profit (non-GAAP, incl SBC)	19,040	19,651	11,116	11,187	14,386	17,891	21,602	25,242	26,973	28,850	30,887	33,099	35,503
D&A	7,115	6,697	7,732	8,500	12,327	15,114	16,037	16,857	17,600	18,284	18,922	19,522	20,090
Capex	(11,154)	(8,055)	(11,978)	(17,774)	(17,982)	(18,692)	(18,975)	(19,477)	(19,980)	(20,480)	(20,973)	(21,453)	(21,915)
Taxes	(2,528)	(3,024)	(3,459)	(2,014)	(2,589)	(3,220)	(3,888)	(4,544)	(4,855)	(5,193)	(5,560)	(5,958)	(6,391)
Working capital	242	(13,772)	(30,441)	(1,638)	(3,006)	(2,865)	(2,896)	(2,782)	(2,077)	(2,226)	(2,404)	(2,610)	(2,842)
Minority interests	(154)	28	22	(665)	(1,496)	(1,945)	(2,334)	(2,568)	(2,824)	(3,107)	(3,417)	(3,759)	(4,135)
Unlevered FCF (FCFF)	12,561	1,525	(27,008)	(2,404)	1,638	6,282	9,545	12,729	14,836	16,128	17,455	18,842	20,310
% YoY	91.2%	-87.9%	-1871.5%	-91.1%	-168.2%	283.4%	51.9%	33.4%	16.6%	8.7%	8.2%	7.9%	7.8%
% of total revenue	12.1%	1.5%	-26.4%	-2.3%	1.4%	4.7%	6.5%	8.2%	8.9%	9.1%	9.2%	9.2%	9.3%
WACC				11.0%									
TGR				3.0%									

Source: Company data, Morgan Stanley Research (E) estimates

Financial Summaries

Exhibit 4: Financial Summary (GAAP)

GAAP (Rmb mn)	Dec-23 2023	Dec-24 2024	Dec-25 2025	Dec-26 2026e	Dec-27 2027e	Dec-28 2028e
Baidu Core	103,465	104,712	102,485	104,554	119,880	133,513
iQIYI	31,873	29,225	27,290	26,031	26,239	26,293
Inter-Segment Revenue	(740)	(812)	(696)	(700)	(784)	(857)
Total Revenue	134,598	133,125	129,079	129,884	145,335	158,948
Cost of Revenue	65,031	66,102	72,436	75,092	81,576	86,969
Gross Profit	69,567	67,023	56,643	54,793	63,759	71,979
SG&A	23,519	23,620	42,033	21,852	23,957	25,670
Research & Development	24,192	22,133	20,433	21,702	24,829	27,651
Operating Profit	21,856	21,270	(5,823)	11,239	14,973	18,658
Interest Income	8,009	7,962	8,602	8,507	8,694	9,261
Interest Expense	(3,248)	(2,824)	(2,784)	(3,001)	(2,923)	(2,799)
Other Income, net	2,380	2,905	3,525	(2,656)	120	120
Income / (loss) from equity investm	(3,799)	(691)	3,196	3,196	3,196	3,196
Profit Before Tax	25,198	28,622	6,716	17,285	24,061	28,436
Tax Expenses	(3,649)	(4,447)	(1,259)	(2,540)	(3,745)	(4,522)
Non-controlling interests	(1,234)	(415)	132	(682)	(1,807)	(2,487)
Net Income Attributable to Baidu	20,315	23,760	5,589	14,063	18,509	21,427
EPADS (Rmb)						
Basic	55.9	66.4	16.4	41.3	54.4	63.0
Diluted	55.1	65.8	11.8	41.1	54.0	62.6
Margin						
Gross Margin	51.7%	50.3%	43.9%	42.2%	43.9%	45.3%
Operating Margin	16.2%	16.0%	-4.5%	8.7%	10.3%	11.7%
Pretax Profit Margin	18.7%	21.5%	5.2%	13.3%	16.6%	17.9%
Net Margin	15.1%	17.8%	4.3%	10.8%	12.7%	13.5%
YoY Growth						
Total Revenues	8.8%	-1.1%	-3.0%	0.6%	11.9%	9.4%
Gross Profit	16.4%	-3.7%	-15.5%	-3.3%	16.4%	12.9%
Operating Profit	37.4%	-2.7%	-127.4%	-293.0%	33.2%	24.6%
Pretax Profit	149.2%	13.6%	-76.5%	157.4%	39.2%	18.2%
Net Profit	168.8%	17.0%	-76.5%	151.6%	31.6%	15.8%

Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 5: Financial Summary (Non-GAAP)

Non-GAAP (Rmb mn)	Dec-23 2023	Dec-24 2024	Dec-25 2025	Dec-26 2026e	Dec-27 2027e	Dec-28 2028e
Total Revenue	134,598	133,125	129,079	129,884	145,335	158,948
Gross Profit	70,157	67,484	57,032	55,183	64,197	72,455
Adj EBITDA	35,823	33,078	22,857	23,021	30,933	37,709
Operating Profit	28,433	26,234	14,950	14,316	18,435	22,448
Net Income Attributable to Baidu	28,747	27,002	18,941	17,097	21,477	24,672
EPADS (Rmb)						
Non-GAAP Basic EPADS	79.9	75.7	52.9	43.4	54.1	62.1
Non-GAAP Diluted EPADS	78.9	75.9	50.8	41.3	51.9	59.9
Margin						
Gross Margin	52.1%	50.7%	44.2%	42.5%	44.2%	45.6%
Adj EBITDA Margin	26.6%	24.8%	17.7%	17.7%	21.3%	23.7%
Operating Margin	21.1%	19.7%	11.6%	11.0%	12.7%	14.1%
Net Margin	21.4%	20.3%	14.7%	13.2%	14.8%	15.5%
YoY Growth						
Total Revenue	8.8%	(1.1%)	(3.0%)	0.6%	11.9%	9.4%
Gross Profit	16.6%	(3.8%)	(15.5%)	(3.2%)	16.3%	12.9%
Adj EBITDA	20.8%	(7.7%)	(30.9%)	0.7%	34.4%	21.9%
Operating Profit	22.6%	(7.7%)	(43.0%)	(4.2%)	28.8%	21.8%
Net Income Attributable to Baidu	39.0%	(6.1%)	(29.9%)	(9.7%)	25.6%	14.9%

Source: Company data, Morgan Stanley Research (e) estimates

Risk Reward – Baidu Inc (BIDU.O)

Weak macro environment and AI disruption risk weigh on search ads recovery

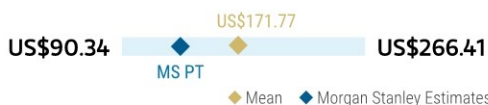
PRICE TARGET US\$130.00

Base case, sum of the parts

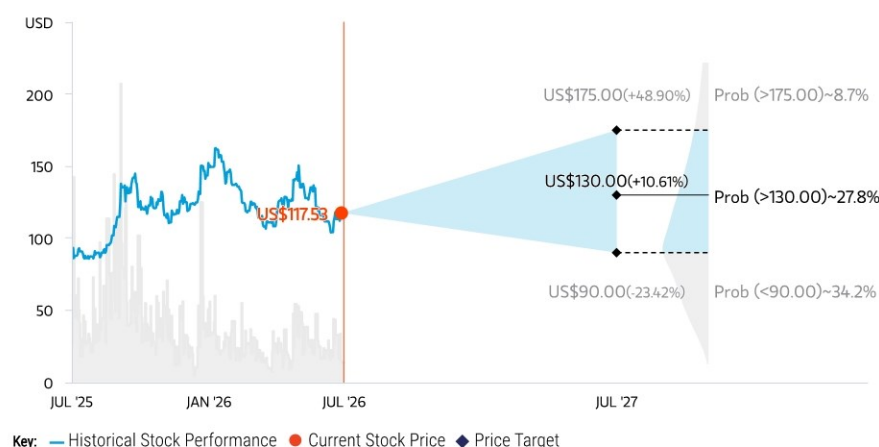
- Core business - US\$123/share DCF (11% discount rate, 3% terminal growth rate).
- Associate investments (TCOM and IQ) - US\$7/share on implied market valuation and applying a 30% discount to investment value.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

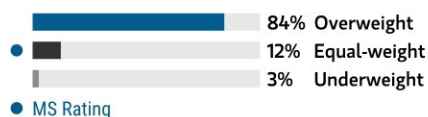


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 10 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- Ad recovery in offline verticals has been slower than expected.
- AI monetization is still at an early stage.
- Our price target implies 14x 2027e non-GAAP P/E vs. the stock's 9-30x trading band since 2018.
- There is limited upside to our price target, and fundamentally, we remain on the sidelines.
- There is limited visibility in core business turnaround in the near term, while AI monetization will take time to be meaningful to financials.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Negative*
Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

US\$175.00

16x 2027e bull case non-GAAP core EPS

Core business - US\$163/share: DCF (11% discount rate, 3% terminal growth rate).

Associate investments (TCOM and IQ) - US\$12/share on implied market valuation and applying a 20% discount to investment value.

BASE CASE

US\$130.00

14x 2027e base case non-GAAP EPS

Core business - US\$123/share: DCF (11% discount rate, 3% terminal growth rate).

Associate investments (TCOM and IQ) - US\$7/share on implied market valuation and applying a 30% discount to investment value.

BEAR CASE

US\$90.00

10x 2027e bear case non-GAAP core EPS

Core business - US\$86/share: DCF (11% discount rate, 3% terminal growth rate).

Associate investments (TCOM and IQ) - US\$4/share on implied market valuation and applying a 50% discount to investment value.

Risk Reward – Baidu Inc (BIDU.O)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
SG&A Expense as % of Revenue (%)	32.6	16.8	16.5	16.1
R&D Expense as % of Revenue (%)	15.8	16.7	17.1	17.4

INVESTMENT DRIVERS

- End-consumption demand recovery that boosts ad budgets
- Continued customer acquisitions by deeper penetration of lower-tier cities and an expanding product portfolio
- Apollo and DuerOS to be baked into valuation in the near to medium term

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger core business recovery driving better top-line growth
- Solid margin expansion from investment discipline and cost control
- Materialization of AI and robotaxi initiatives

RISKS TO DOWNSIDE

- Intensifying competition in search and online video, driving up TAC and more aggressive content investments
- AI-related adoption failing to ramp up in China
- AI disruption risk to search

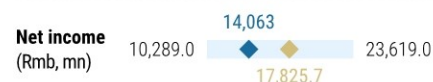
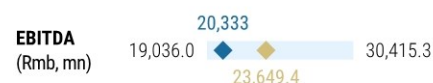
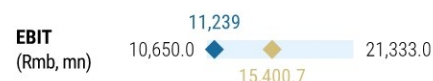
OWNERSHIP POSITIONING

Inst. Owners, % Active	75.7%	
HF Sector Long/Short Ratio	2.6x	
HF Sector Net Exposure	12.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

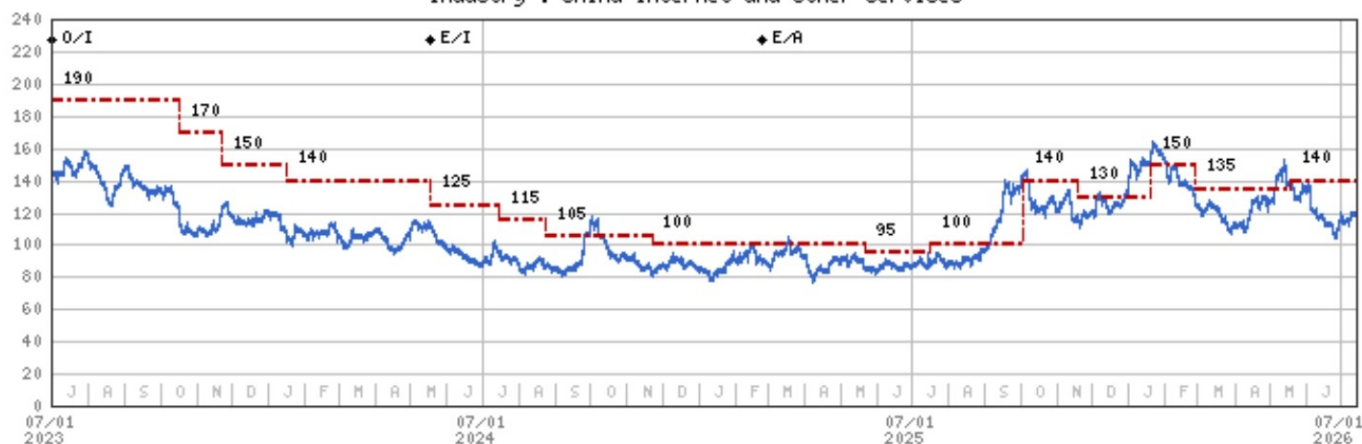
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Baidu Inc (BIDU.O) - As of 07/13/26 GMT in USD
Industry : China Internet and Other Services

Stock Rating History: 7/1/21 : E/A; 9/20/21 : E/I; 6/20/23 : O/I; 5/17/24 : E/I; 2/24/25 : E/A

Price Target History: 5/20/21 : 230; 8/13/21 : 200; 1/14/22 : 190; 3/21/22 : 180; 10/14/22 : 140; 11/23/22 : 120; 1/9/23 : 150; 2/23/23 : 160; 6/20/23 : 190; 10/18/23 : 170; 11/22/23 : 150; 1/17/24 : 140; 5/17/24 : 125; 7/15/24 : 115; 8/23/24 : 105; 11/22/24 : 100; 5/22/25 : 95; 7/16/25 : 100; 10/3/25 : 140; 11/19/25 : 130; 1/20/26 : 150; 2/27/26 : 135; 5/19/26 : 140

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
 Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US\$20.30
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US\$8.57
JD.com, Inc. (JD.O)	U (11/10/2025)	US\$28.20
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US\$13.76
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US\$15.57
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US\$85.13
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US\$13.94
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US\$112.33
Baidu Inc (BIDU.O)	E (05/17/2024)	US\$117.53
Meituan (3690.HK)	O (08/29/2024)	HK\$77.95
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK\$457.60
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US\$2.45
IQIYI Inc (IQ.O)	E (01/19/2023)	US\$1.13
JOYY Inc. (JOYY.O)	E (06/02/2022)	US\$70.54
Weibo Corp (WB.O)	U (05/17/2024)	US\$7.72
Yang Liu		
Bilibili Inc (BILI.O)	O (04/13/2026)	US\$17.70
Kuaishou Technology (1024.HK)	O (05/26/2026)	HK\$43.60
NetEase, Inc (NTES.O)	O (01/08/2025)	US\$128.03
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK\$12.18
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US\$42.80

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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